

Millennium Pharmaceuticals

I bought Millennium Pharmaceuticals (MLNM) in May 2005 in the handle of a rounded turn (which now looks like a descending scallop). I bought before confirmation, and the stock burned me. Price dropped, and I sold on the way down, taking a loss on the trade. The same thing happened on Stein Mart (SMRT) where I took a small loss.

- Lesson: If you're thinking of buying during creation of the handle, wait for confirmation (price to close above the right rim) before buying.

Sample Trade

How do you use the trading tactics to improve your investment performance? Consider what Glen did with the situation shown in [Figure 55.6](#), on the weekly scale. His dream was to become a day trader, but he had neither the trading capital nor the necessary experience for the job. He decided to get there one trade at a time, using the longer time scales and working down to day trading.